Collections Policy

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Owner: Marcus Lim, Head of Collections
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1. Purpose and Scope

This policy governs the collection of overdue balances on Aspire corporate cards and working-capital facilities issued to SME customers by Aspire Demo Pte Ltd. It applies to the Collections team, customer_support and risk_analyst staff who contact customers about arrears.

2. Delinquency Buckets

Bucket	Days past due	Primary action	Owner
Early	1-30	Reminder SMS/email on day 1, 7, 14; call on day 10	Collections Tier 1
Mid	31-60	Calls twice weekly; limit reduced by 50%; formal notice on day 35	Collections Tier 2
Late	61-90	Card suspended; demand letter on day 61; payment plan offered	Collections Tier 2
Severe	90+	Account closed to new spend; legal review; credit bureau reporting	Collections Recoveries

3. Contact Cadence and Conduct

Contact is permitted Monday to Friday 09:00-18:00 SGT and Saturday 09:00-13:00 SGT. No contact on Sundays or public holidays. A maximum of 3 contact attempts per day and 8 per week may be made to a customer across all channels. Calls are recorded and retained for 5 years.

• Contact the authorised company representative only; never disclose arrears to third parties, employees or family members.

• Staff must identify themselves and Aspire at the start of each call and verify identity before discussing balances.

• No threats, harassment, misleading statements or false urgency. Legal action may only be mentioned where it is genuinely intended and permitted under this policy.

• Written notices state the amount overdue, fees, and how to dispute or request a hardship plan.

4. Hardship Plans

A customer experiencing temporary difficulty may request a hardship plan at any stage up to 90 DPD. Eligibility requires evidence such as a revenue drop of at least 30% over 3 months, loss of a key contract or a documented disruption. Available arrangements are: fee waiver for up to 2 billing cycles, an instalment plan of up to 12 months, or a temporary interest reduction. Plans up to SGD 20,000 are approved by the Collections Team Lead; above that by the Head of Credit Risk. While a plan is being honoured, the account is not escalated and no further late fees accrue. Two missed instalments cancel the plan.

5. Fair Conduct and Vulnerable Customers

Aspire treats customers fairly in line with MAS Guidelines on Fair Dealing. Customers who dispute a debt must have collection activity paused on the disputed amount while it is investigated, with a target of 15 business days. Any complaint raised during a collection call is logged in SupportDesk and handled under the Complaint Handling SOP. Staff must refer customers who appear to be in severe distress to the Collections Team Lead for a tailored approach.

6. Escalation to Legal

Accounts reaching 90+ DPD with a balance above SGD 10,000 are referred to Legal Counsel for review of the guarantee and director liability position. A final letter of demand with 14 days to pay precedes any proceedings. Court action is authorised only by the Head of Credit Risk together with Legal Counsel. Balances below SGD 10,000 may be placed with an approved external collection agency subject to the same conduct rules, and agency contact logs are audited quarterly.

7. Write-Off

Balances are written off at 180 DPD, or earlier if the borrower is insolvent or the debt is uncollectable on legal advice. Write-offs above SGD 50,000 require Finance and Risk Committee approval. A written-off account continues to be pursued by Recoveries for up to 6 years, and any recovery is credited to the recoveries ledger. Provisioning follows the IFRS 9 staging: Stage 1 up to 30 DPD, Stage 2 from 31 DPD, Stage 3 from 91 DPD.

8. Reporting

The Collections team reports weekly roll rates between buckets, cure rates and contact-rate compliance to the Credit Risk Forum. Targets: 30+ DPD ratio below 3.5% of card balances, early-bucket cure rate above 75%.